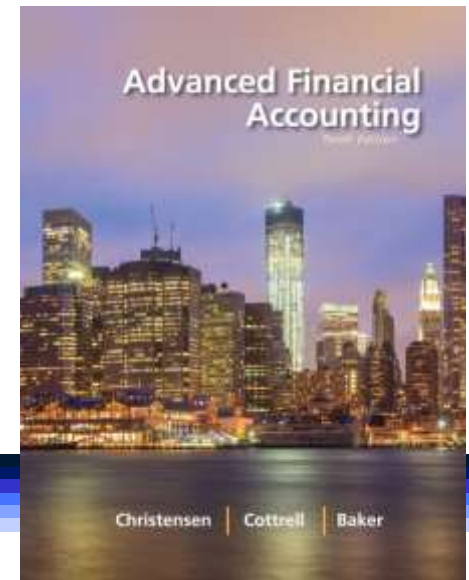


Chapter 4



Consolidation of Wholly Owned Subsidiaries Acquired at More than Book Value



Learning Objective 4-2

Understand and explain how consolidation procedures differ when there is a differential.



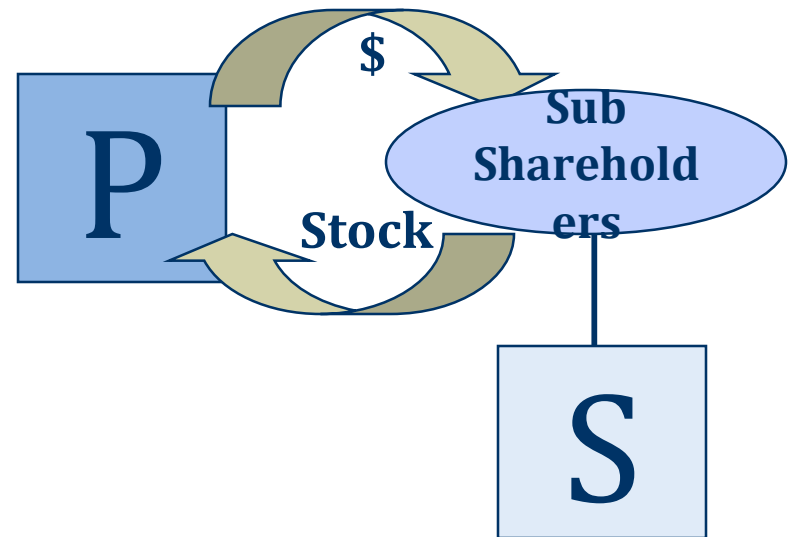
Simple Example

Assume the BV of Sub's net assets is \$800 and that the FMV of the net assets is \$1,000. Finally, assume that the acquisition price was \$1,500. The acquisition price consists of three parts:

Goodwill = \$500

Excess value of
identifiable
assets = \$200

Book value of
net assets = \$800





Understanding Components of Acquisition Cost

$$\begin{array}{lcl} \text{Acquisition Price} & = & \text{FV of Assets} + \\ \text{Goodwill} & & \text{FV of Assets} - \text{BV} \end{array}$$
$$\text{Acquisition Price} = \text{BV} + \text{FV-BV} + \text{Goodwill}$$



Basic Concepts: Parent and Subsidiary

- ◆ What happens when you consolidate the parent's and subsidiary's books?
 - Remember:
 - The parent's investment account is based on the actual acquisition price.
 - The sub's books contain only historical book values.
- ◆ The parent needs to make adjustments for both
 - Balance Sheet, and
 - Income Statement accounts.



Recognition Principle

- At acquisition date, parent will recognize subsidiary's net assets at fair value

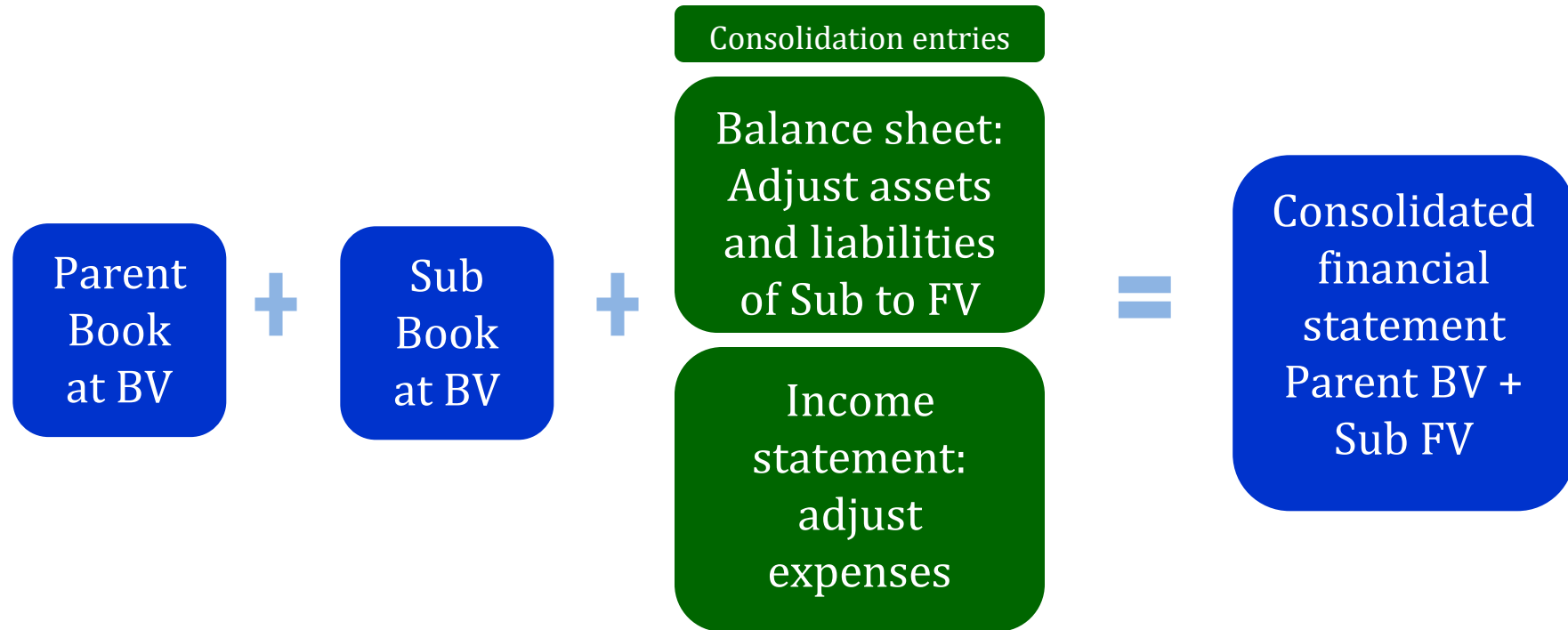
Underlying assumption:

There has been an exchange transaction at arm-length pricing

There is an effective "acquisition" of the subsidiary's identifiable assets and liabilities at fair value



Consolidation





Basic Concepts: Income Statement Impacts

- ◆ **Big Picture:** Essentially, we switch the sub's books from BV to FMV in the consolidation process.
- ◆ **Income Statement effects**

Asset	Related Expense (as the asset expires)
Equipment	Depreciation Expense
Inventory	Cost of Goods Sold
Patent	Amortization Expense
Goodwill	Impairment Loss



Basic Concepts: Income Statement Impacts

◆ Income Statement Effects

- When Acquisition Price > Book Value

Asset	Related Expense (as the asset expires)	Income Statement Effect
Equipment	Depreciation Expense	Too Low (understated)
Inventory	Cost of Goods Sold	
Patent	Amortization Expense	
Goodwill	Impairment Loss	

If expenses are UNDERSTATED, then income is too high

To fix the problem, Parent needs to INCREASE expenses.



Equity Method Entries in Parent's Book

The Parent's initial investment in a sub is based on the FMV of the sub's net assets (+/- GW).

- Equity method entries:
 - Recording share of sub's income
 - Recording share of sub's dividends
- They should be based on the same FMV basis.
- Problem: Sub reports income based on **BOOK VALUES**
- Solution: Parent has to record an adjustment to the income and investment "Equity Method" accounts.



Example: Equity Method Journal Entries

1. To record % share of Sub's reported income:

Investment in Salt	xxxx	
Income from Salt		xxxx

2. To record % of Sub's dividends declared:

Dividend Receivable	xxxx	
Investment in Salt		xxxx

3. To record adjustment to income of Sub(based on FMV):

Income from Salt	xxxx	
Investment in Salt		xxxx

OR

Investment in Salt	xxxx	
Income from Salt		xxxx



Summary of Consolidation Entries

1. The basic elimination entry:

Common Stock (S)	XX	
Additional Paid-in Capital (S)	XX	
Retained Earnings, Beginning Balance (S)		XX
Income from Sub	XX	
Investment in Sub		BV
Dividends Declared		XX

2. The excess value reclassification entry:

Asset 1	XX	
Asset 2	XX	
Goodwill	XX	
Investment in Sub		Excess



Summary of Consolidation Entries

3. The amortized excess value reclassification entry:

Cost of Sales	XX	
Other Expenses		XX
Income from Sub		XX

This entry reclassifies the equity method amortization of cost in excess of book from Income from Sub to the appropriate expense accounts where the costs would have been had the sub used FMV instead of BV.

4. The accumulated depreciation elimination entry:

Accumulated Depreciation	XX	
Buildings and Equipment		XX



Example: Acquisition Price > Book Value

Pepper Inc., a calendar-year reporting company, acquired 100% of Salt Inc.'s outstanding common stock at a cost of \$442,500 on 12/31/X8. The analysis of the parent's Investment account as of the acquisition date shows:

Book value element	<u>Life remaining</u>
Common Stock	\$130,000
Retained Earnings	117,000
Under- or Over-valuation	
Inventory (6,500)	2 months
Land 39,000	Indefinite
Equipment 85,000	10 years
Intangible assets 52,000	4 years



Results for 20X9 (based on Book Values):

Dividends Declared 45,500



Group Exercise 1: *Solution Investment Account*

Investment in Sub

442,500

247,000

195,500

0

1. The basic elimination entry:

Common Stock	130,000	
Retained Earnings	117,000	
Investment in Sub		247,000

1. The excess value reclassification entry:

Land	39,000	
Equipment	85,000	
Intangible assets	52,000	
Goodwill	26,000	
Inventory	6,500	
Investment in Sub		195,500



Example: Acquisition Price > Book Value

$$\begin{array}{rclclcl}
 \text{Acquisition} & & & & & & \\
 \text{Price} & = & \text{BV} & + & \text{Identifiable Excess} & + & \\
 & & & & & & \\
 442,500^{\text{GW}} & = & 247,000 & + & 169,500 & + & \\
 26,000 & & & & & &
 \end{array}$$

Results for 20X9 (based on Book Values):

Reported Income \$78,000

Dividends Declared 45,500

What would the Sub's income be based on Fair Values? $\longrightarrow$ **\$63,000**

Lower COGS (because inventory is worth less)	\$ (6,500)
Extra depreciation on equipment	8,500
Extra amortization of contract	<u>13,000</u>
Total increase in expenses / decrease in income	\$ 15,000



Example: Equity Method

Results for 20X9 (based on Book Values):

Reported Income \$78,000

Dividends Declared 45,500

Adjustment to Salt's 20X9 income on Parent's books:

Lower COGS (because inventory is worth less) \$ (6,500)

Extra depreciation on equipment 8,500

Extra amortization of contract 13,000

Total increase in expenses / decrease in income \$ 15,000

What entries would Pepper record in its general ledger related to Salt's income and dividends for 20X9 under the equity method?



Example: Equity Method Investment Adjustment

Calculate the correct ending balance in Pepper's Investment in Salt account using the equity method:

**Called “amortization
of excess value”**

Investment in Salt			
Beginning Balance			
442,500			
Net Income	78,000	Dividend	45,500
		Income Adjustment	15,000
Ending Balance		460,000	



Example: Equity Method Journal Entries

1. To record 100% share of Salt's reported income:

Investment in Salt	78,000	
	Income from Salt	78,000

2. To record 100% of Salt's dividends declared:

Dividend Receivable	45,500	
	Investment in Salt	45,500

3. To record additional expenses (based on FMV):

Income from Salt	15,000	
	Investment in Salt	15,000



Learning Objective 4-3

Make calculations and prepare elimination entries for the consolidation of a wholly owned subsidiary when there is a complex positive differential at the acquisition date.



Group Exercise 1: *Analyzing Acquisition Costs*

Prince Inc. acquired 100% of She-Ra Inc.'s outstanding common stock for \$1,600,000 cash. Divide the cost into its major elements and prepare the consolidation entries as of the acquisition date.

	Book Value	Current Value	Difference
Cash	60,000	60,000	-
Accounts Receivable	160,000	160,000	-
Inventory	300,000	350,000	50,000
Notes Receivable	100,000	40,000	(60,000)
Land	500,000	630,000	130,000
Buildings & Equipment	610,000	720,000	110,000
Patent	50,000	140,000	90,000
Goodwill	110,000	-	(110,000)
Total Assets	1,890,000	2,100,000	
Payables & Accruals	160,000	160,000	-
Long-term Debt	750,000	680,000	70,000
Total Liabilities	910,000	840,000	
Common Stock	120,000	Buildings and equipment net of \$98,000 accumulated depreciation. Goodwill is from a prior acquisition.	
Additional PIC	480,000		
Retained Earnings	380,000		
Total Equity	980,000		



Group Exercise 1: *Solution*

Splitting of the Investment account:

Total Cost	1,600,000
Less: BV element (CS + Add PIC + RE)	<u>(980,000)</u>
Total Excess Cost	620,000

Analysis of the Investment account -- excess cost elements:

Under- or (over-) valuation of identifiable net assets

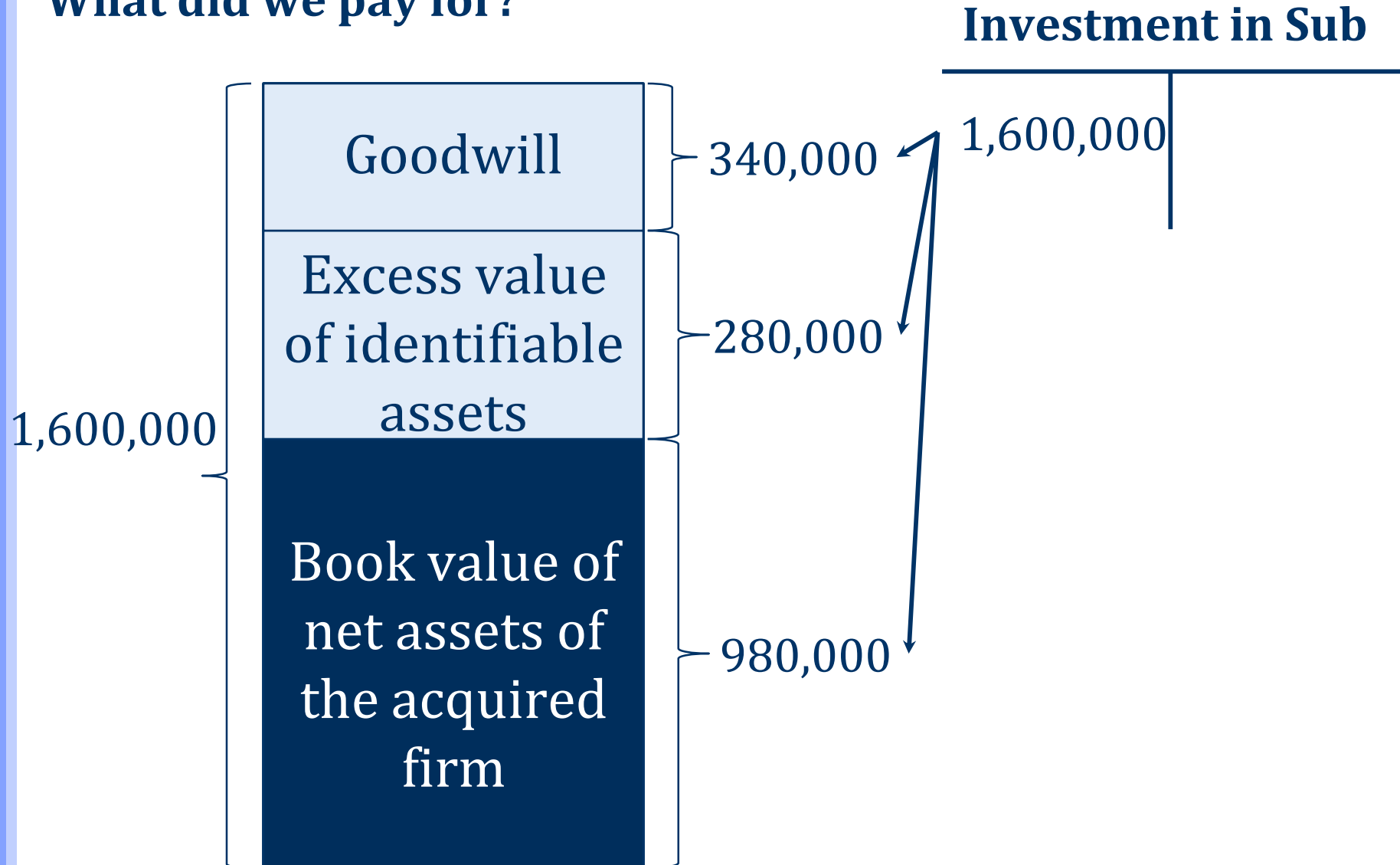
Inventory	50,000	
Notes Receivable	(60,000)	
Land	130,000	
Buildings & Equipment	110,000	
Patent	90,000	
Goodwill	(110,000)	
Long-term Debt	<u>70,000</u>	
		<u>280,000</u>
Goodwill		340,000

How would this affect your worksheet elimination entries?



Group Exercise 1: *Solution Acquisition Costs*

What did we pay for?





Group Exercise 1: *Solution Investment Account*

Investment in Sub

1,600,000	
	980,000
	620,000
0	

1. The basic elimination entry:

Common Stock	120,000
Additional Paid-in Capital	480,000
Retained Earnings	380,000
Investment in Sub	980,000

1. The excess value reclassification entry:

Inventory	50,000
Land	130,000
Buildings and Equipment	110,000
Patent	90,000
Long-term Debt	70,000
Goodwill (new)	340,000
Notes Receivable	60,000
Goodwill (old)	110,000
Investment in Sub	620,000



Group Exercise 1: *Solution Worksheet Entries*

1. The basic elimination entry:

Common Stock	120,000	
Additional Paid-in Capital	480,000	
Retained Earnings	380,000	
Investment in Sub		980,000

1. The excess value reclassification entry:

Inventory	50,000	
Land	130,000	
Buildings and Equipment	110,000	
Patent	90,000	
Long-term Debt	70,000	
Goodwill (new)	340,000	
Notes Receivable		60,000
Goodwill (old)		110,000
Investment in Sub		620,000

1. The accumulated depreciation elimination entry:

Accumulated Depreciation	98,000	
Building and Equipment		98,000



Group Exercise 1: *Solution Depreciation Entry*

3. The accumulated depreciation elimination entry: The book values at acquisition – remember the 610,000 was net of 98,000 in accumulated depreciation.

Buildings & Equipment		Accumulated Depreciation	
708,000			98,000



Group Exercise 1: *Solution Depreciation Entry*

3. The accumulated depreciation elimination entry:

Accumulated Depreciation	98,000
Building and Equipment	98,000

Buildings & Equipment		Accumulated Depreciation	
708,000			98,000
	98,000	98,000	
610,000			0

Shows the Buildings and Equipment “as if” they have been recorded on the sub’s books as new assets at book value.



Group Exercise 1: *Solution Reclass Entry*

3. The accumulated depreciation elimination entry:

Accumulated Depreciation	98,000
Building and Equipment	98,000

Buildings & Equipment		Accumulated Depreciation	
708,000			98,000
	98,000	98,000	
BV 610,000			0
Excess Value 110,000			
Reclass FMV 720,000			

The excess value reclassification elimination entry brings the Buildings and Equipment up to fair value.



Group Exercise 2: Worksheet

Thompson acquired all of Lake's stock on Jan 1, 20X5 for \$180,000. On that date, the BV of the net assets reported by Lake was \$150,000.

	Thompson		Lake	
cash	15,000		5,000	
acct. receivable	30,000		40,000	
inventory	70,000		60,000	
depreciable assets (net)	325,000		225,000	
investment in Sub	195,000			
depreciation expense	25,000		15,000	
other expenses	105,000		75,000	
dividends declared	40,000		10,000	
Acct. payable		50,000		40,000
Notes payable		100,000		120,000
Common Stock		200,000		100,000
Retained Earnings		230,000		50,000
Sales		200,000		120,000
Income from Sub		25,000		
	805,000	805,000	430,000	430,000

The entire differential was assigned to depreciable assets with a 6-year remaining economic life from Jan 1, 20X5



Group Exercise 2: Worksheet

1. calculate the goodwill
2. Calculate Lake reported income in 20X5
3. prepare equity method entries by Thompson
4. prepare consolidation entries



Example: Equity Method Journal Entries

1. To record 100% share of Sub's reported income:

Investment in Sub	30,000	
	Income from Sub	30,000

2. To record 100% of Sub's dividends declared:

Dividend Receivable	10,000	
	Investment in Sub	10,000

3. To record additional expenses (based on FMV):

Income from Sub	5,000	
	Investment in Sub	5,000



Group Exercise 3: Worksheet Entries

Book Value Calculations:

Thompson		Lake's Equity Accounts, BV		
Investment Account, BV		Common Stock	= Add PIC	Retained Earnings +
Balances, 1/1/X5	150,000	100,000		50,000
Add: Net Income	30,000			30,000
Less Dividends	(10,000)			(10,000)
Balances, 12/31/X5		170,000	100,000	70,000

The Basic Elimination Entry:

Common Stock	100,000	
Retained Earnings, 1/1/X5		50,000
Income from Salt	30,000	
Dividends Declared		10,000
Investment in Salt		170,000



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Thompson's Investment Account		Sub's Under- or (Over-) Valuation of Net Assets Element Equipment
<i>Remaining Life</i>	Excess Cost	<i>6 years</i>
Balances, 1/1/X5	30,000	30,000
Less: Amortization	5,000	5,000
Balances, 12/31/X5	25,000	25,000

The Excess Value Reclassification Entry:

Equipment	30,000
Accumulated Depreciation	5,000
Investment in Salt	25,000

The Amortized Excess Value

Depreciation Expense	5,000
Income from Salt	5,000



Learning Objective 4-4

Make calculations and prepare elimination entries for the consolidation of a wholly owned subsidiary when there is a complex bargain-purchase differential.



Acquired at Less than Fair Value of Net Assets

◆ Bargain purchase

- A business combination where the sum of
 - the acquisition-date fair values of the consideration given,
 - any equity interest already held by the acquirer, and
 - any noncontrolling interest

is less than the amounts at which the identifiable net assets must be valued at the acquisition date
The acquirer recognizes a gain for the difference.



Basic Concepts

◆ Income Statement Effects

- When Acquisition Price < BV

Asset	Related Expense (as the asset expires)	Income Statement Effect
Equipment	Depreciation Expense	Too High (overstated)
Inventory	Cost of Goods Sold	
Patent	Amortization Expense	
Goodwill	Impairment Loss	

If expenses are **OVERSTATED**, then income is too low

To fix the problem, Parent needs to **DECREASE** expenses.



Practice Quiz Question #4

How do the elimination entries differ in a bargain purchase scenario from an acquisition at an amount greater than book value?

- a. The differential is ignored in a bargain purchase scenario.
- b. The parent company multiplies all numbers by -1 .
- c. The elimination entry to reclassify expenses related to the differential *increases* reported expenses.
- d. The elimination entry to reclassify expenses related to the differential *decreases* reported expenses.



Practice Quiz Question #4 *Solution*

How do the elimination entries differ in a bargain purchase scenario from an acquisition at an amount greater than book value?

- a. The differential is ignored in a bargain purchase scenario.
- b. The parent company multiplies all numbers by -1 .
- c. The elimination entry to reclassify expenses related to the differential *increases* reported expenses.
- d. The elimination entry to reclassify expenses related to the differential *decreases* reported expenses.



Learning Objective 4-5

Prepare equity-method journal entries, elimination entries, and the consolidation worksheet for a wholly owned subsidiary when there is a complex positive differential.



Group Exercise 3

Pepper Inc., a calendar-year reporting company, acquired 100% of Salt Inc.'s outstanding common stock at a cost of \$442,500 on 12/31/X8. The analysis of the parent's Investment account as of the acquisition date shows:

Book value element	<u>Life remaining</u>
Common Stock	\$130,000
Retained Earnings	117,000
Under- or Over-valuation	
Inventory (6,500)	2 months
Land 39,000	Indefinite
Equipment 85,000	10 years
Intangible assets 52,000	4 years
<i>Goodwill</i> <u>26,000</u>	Indefinite
Total Cost	\$442,500



Group Exercise 3

1. Update the analyses of the Investment account through 12/31/X9.
1. Prepare all consolidation entries as of 12/31/X9.
3. Prepare a consolidation worksheet at 12/31/X9. (The parent's retained earnings as of 1/1/X9 were \$455,000.

	Pepper	Salt
Sales	1,235,000	780,000
Cost of Sales	(598,000)	(370,500)
depreciation expense	(78,000)	(19,500)
S&A expense	(481,000)	(312,000)
Income from Salt	63,000	
Net income	141,000	78,000
Statement of Retained Earnings		
Balance, 1/1/X9	455,000	117,000
Net income	141,000	78,000
Dividends	(104,000)	(45,500)
Balance, 31/12/X9	492,000	149,500
Balance Sheet		
Cash	77,500	32,500
Account Receivable	123,500	78,000
Inventory	149,500	156,000
Investment in Salt	460,000	
Land	130,000	91,000
Building and Equipment	325,000	291,200
Acc. Depr.	(273,000)	(76,700)
Total Assets	992,500	572,000
Payable and Accruals	84,500	97,500
Long term debt	26,000	195,000
Common Stock	390,000	130,000
Retained Earnings	492,000	149,500
Total Liab & Equity	992,500	572,000



Amortization Schedule				
	Beginning	Useful life	Amortization for 2009	Ending balance
	Balance			
Inventory	-6,500	2 months	-6,500	0
Land	39,000	Indefinite	0	39,000
Equipment	85,000	10 years	8500	76,500
Covenant-not-to-compete	52,000	4 years	13000	39,000
Goodwill element	26,000	Indefinite	0	26,000
	195,500		15,000	180,500



Equity Method JE by parent:

Cash		45,500	
	Investment in Special Foods Stock		45,500
Record dividends from Special Foods: \$30,000 X 1.00			
Investment in Special Foods Stock		78,000	
	Income from Subsidiary		78,000
Record equity-method income: \$50,000 X 1.00			
Income from Subsidiary		15,000	
	Investment in Special Foods Stock		15,000
Amortization of diferrential			



Group Exercise 3: Worksheet Entries

Book Value Calculations:

Pepper's Salt's Equity Accounts, BV					
Investment Account, BV		Common Stock	= Add PIC	Retained Earnings	+
Balances, 1/1/X9	247,000	130,000	0	117,000	
Add: Net Income	78,000			78,000	
Less Dividends	(45,500)			(45,500)	
Balances, 12/31/X9		279,500	130,000	0	149,500

The Basic Elimination Entry:

Common Stock
 Retained Earnings, 1/1/X9
 Income from Salt
 Dividends Declared
 Investment in Salt



Group Exercise 3: Worksheet Entries

Book Value Calculations:

	Pepper's Investment Account, BV	=	Common Stock	+	Salt's Equity Accounts, BV
Retained Earnings Balances, 1/1/X9	247,000		130,000		0
Add: Net Income	78,000				
	78,000				

The Basic Elimination Entry

(45,500)	Common Stock	
Retained Earnings, 1/1/X9	279,500	130,000
Income from Salt		
Dividends Declared		
Investment in Salt		



Group Exercise 3: Worksheet Entries

Book Value Calculations:

	Pepper's	Salt's Equity Accounts, BV		
	Investment =	Common	+	
Retained				
Earnings	Account, BV	Stock	Add PIC	
Balances, 1/1/X9	247,000	130,000	0	247,000
Add: Net Income	78,000			

Less Dividends (45,500)

The Basic Elimination Entry:

Common Stock	130,000	130,000
Retained Earnings, 1/1/X9	117,000	
Income from Salt	78,000	
Dividends Declared		45,500
Investment in Salt		279,500



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Pepper's Investment Account	Salt's Under- or (Over-) Valuation of Net Assets Element				
	Inventory	Land	Equipment	Acc Dep	Covenant
Remaining Life	Excess Cost		2 months	Indefinite	10 years
					4 years
Balances, 1/1/X9					
Less: Amortization					
Balances, 12/31/X9					

The Excess Value Reclassification Entry:

Land
Building & Equipment
Covenant N-T-C
Goodwill
Accumulated Depreciation
Investment in Salt

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Pepper's Investment Account	Salt's Under- or (Over-) Valuation of Net Assets Element					
	Inventory	Land	Equipment	Acc Dep	Int assets	Goodwill
<i>Remaining Life</i>	Excess Cost		<i>2 months</i>	<i>Indefinite</i>	<i>10 years</i>	<i>4 years</i>
Balances, 1/1/X9	195,500	(6,500)	39,000	85,000	52,000	26,000
Less: Amortization						
Balances, 12/31/X9						

The Excess Value Reclassification Entry:

Land
Building & Equipment
Covenant N-T-C
Goodwill
Accumulated Depreciation
Investment in Salt

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Pepper's Investment Account	Salt's Under- or (Over-) Valuation of Net Assets Element						
<i>Remaining Life</i>	Inventory	Land	Equipment	Acc Dep	Int asset	Goodwill	
	Excess Cost		2 months	Indefinite	10 years	4 years	
Balances, 1/1/X9	195,500	(6,500)	39,000	85,000		52,000	26,000
Less: Amortization	(15,000)	6,500	0		(8,500)	(13,000)	
Balances, 12/31/X9							

The Excess Value Reclassification Entry:

Land
Building & Equipment
Covenant N-T-C
Goodwill
Accumulated Depreciation
Investment in Salt

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Element	Pepper's Investment	Salt's Under- or (Over-) Valuation of Net Assets					
	Account	Inventory	Land	Equipment	Acc Dep	int asset	
	Goodwill						
Remaining Life	Excess Cost		2 months	Indefinite	10 years		4 years
Balances, 1/1/X9	195,500	(6,500)	39,000	85,000	52,000	26,000	
Less: Amortization	(15,000)	6,500	0		(8,500)	(13,000)	

The Excess Value Reclassification Entry: 39,000 The 85,000 (8,500) 39,000 26,000
 Balances, 12/31/X9 195,500 0

Land
 Building & Equipment
 Covenant N-T-C
 Goodwill
 Accumulated Depreciation
 Investment in Salt

Depreciation Expense
 S&A Expense
 Cost of Sales
 Income from Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
 Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Element	Pepper's Investment	Salt's Under- or (Over-) Valuation of Net Assets					
	Account	=	Inventory	Land	Equipment	Acc Dep	Covenant
	Goodwill						
Remaining Life	Excess Cost		2 months	Indefinite	10 years		4 years
Balances, 1/1/X9	195,500	(6,500)	39,000	85,000		52,000	
26,000							

Less: Amortization (15,000) 6,500 0 **The Excess Value Reclassification Entry:** **The Amortized Excess** (8,500) (13,000)

Balances, 12/31/X9 180,500 0 39,000 85,000 (8,500) 39,000

Land

Building & Equipment

Covenant N-T-C

Goodwill

Accumulated Depreciation

Investment in Salt

Depreciation Expense

S&A Expense

Cost of Sales

Income from Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation

Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Pepper's Investment Account	Salt's Under- or (Over-) Valuation of Net Assets Element						
<i>Remaining Life</i>	Inventory	Land	Equipment	Acc Dep	Covenant	Goodwill	
	Excess Cost		2 months	Indefinite	10 years		4 years
Balances, 1/1/X9	195,500	(6,500)	39,000	85,000		52,000	26,000
Less: Amortization	(15,000)	6,500	0		(8,500)	(13,000)	
Balances, 12/31/X9	180,500	0	39,000	85,000	(8,500)	39,000	26,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Int assets	39,000
Goodwill	26,000
Accumulated Depreciation	8,500
Investment in Salt	180,500

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Pepper's Investment Account	Salt's Under- or (Over-) Valuation of Net Assets Element						
<i>Remaining Life</i>	Inventory	Land	Equipment	Acc Dep	Covenant	Goodwill	
	Excess Cost		2 months	Indefinite	10 years		4 years
Balances, 1/1/X9	195,500	(6,500)	39,000	85,000		52,000	26,000
Less: Amortization	(15,000)	6,500	0		(8,500)	(13,000)	
Balances, 12/31/X9	180,500	0	39,000	85,000	(8,500)	39,000	26,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Covenant N-T-C	39,000
Goodwill	26,000
Accumulated Depreciation	8,500
Investment in Salt	180,500

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Pepper's Investment Account	Salt's Under- or (Over-) Valuation of Net Assets Element						
<i>Remaining Life</i>	Inventory	Land	Equipment	Acc Dep	Covenant	Goodwill	
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Balances, 12/31/X9	180,500	0	39,000	85,000	(8,500)	39,000	26,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Covenant N-T-C	39,000
Goodwill	26,000
Accumulated Depreciation	8,500
Investment in Salt	180,500

The Amortized Excess Value

Depreciation Expense	8,500
S&A Expense	13,000
Cost of Sales	6,500

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 3: Worksheet Entries

Excess Value Calculations:

Pepper's Investment Account	Salt's Under- or (Over-) Valuation of Net Assets Element					
Inventory	Land	Equipment	Acc Dep	Covenant	Goodwill	
Excess Cost		2 months	Indefinite	10 years	4 years	
Balances, 1/1/X9	195,500	(6,500)	39,000	85,000	52,000	26,000
Less: Amortization	(15,000)	6,500	0	(8,500)	(13,000)	
Balances, 12/31/X9	180,500	0	39,000	85,000	(8,500)	39,000
						26,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Covenant N-T-C	39,000
Goodwill	26,000
Accumulated Depreciation	8,500
Investment in Salt	180,500

The Amortized Excess Value

Depreciation Expense	8,500
S&A Expense	13,000
Cost of Sales	6,500

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation	57,200
Building & Equipment	57,200



Group Exercise 3: *Solution Investment Account*

Beginning Balance:

Goodwill = 26,000
Identifiable Excess = 169,500
Book value = 247,000

Investment in Salt

BB	442,500	
NI	78,000	
		45,500 Dividend
		15,000 Excess Amort.
EB	460,000	

Ending Balance:

Goodwill = 26,000
Identifiable Excess = 154,500
Book value = 279,500

Look back at the beginning and ending balances in the two charts you just prepared to find the numbers!



Group Exercise 3: Worksheet Entries

Notice how the worksheet entries “eliminate” Pepper’s equity method accounts:

Investment in Salt		Income from Salt	
BB 442,500			
NI 78,000			78,000 NI
	45,500 Dividend		
	15,000 Excess Amort.	15,000	
EB 460,000			63,000 Adj. Balance
	279,500 Basic	78,000	
	180,500 Excess Reclass		15,000 Excess Amort.
	0		0



Group Exercise 3: Completed Worksheet

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
	Pepper	Salt	Elimination Entries		Consoli- dated
			DR	DR	
Income Statement					
Sales	1,235,000	780,000			2,015,000
Cost of Sales	(598,000)	(370,500)		6,500	(962,000)
Depreciation Expense	(78,000)	(19,500)	8,500		(106,000)
S&A Expense	(481,000)	(312,000)	13,000		(806,000)
Income from Salt	63,000		78,000	15,000	0
Net Income	141,000	78,000	99,500	21,500	141,000
Statement of Retained Earnings					
Balance, 1/1/X9	455,000	117,000	117,000		455,000
Add: Net Income	141,000	78,000	99,500	21,500	141,000
Less: Dividends	(104,000)	(45,500)		45,500	(104,000)
Balance, 12/31/X9	492,000	149,500	216,500	67,000	492,000
Balance Sheet					
Cash	77,500	32,500			110,000
Accounts Receivable	123,500	78,000			201,500
Inventory	149,500	156,000			305,500
Investment in Salt:					
Book Value	279,500			279,500	0
Excess Cost	180,500			180,500	0
Land	130,000	91,000	39,000		260,000
Build & Equip	325,000	291,200	85,000	57,200	644,000
Acc Depreciation	(273,000)	(76,700)	57,200	8,500	(301,000)
Covenant N-T-C			39,000		39,000
Goodwill			26,000		26,000
Total Assets	992,500	572,000	246,200	525,700	1,285,000
Payables & Accruals	84,500	97,500			182,000
Long-term Debt	26,000	195,000			221,000
Common Stock	390,000	130,000	130,000		390,000
Retained Earnings	492,000	149,500	216,500	67,000	492,000
Total Liab & Equity	992,500	572,000	346,500	67,000	1,285,000



Learning Objective 4-6

Understand and explain the elimination of basic intercompany transactions.



Road Map: Intercompany Transactions

◆ Typical intercompany transactions

- Intercompany reciprocal accounts (Chapter 4)
- Inventory transfers (Chapter 6)
- Fixed asset transfers (Chapter 7)
- Intercompany Indebtedness (Chapter 8)



Intercompany Transactions

◆ Questions

- Can a company pay money to itself?
- Can a company receive funds from itself?

◆ Answers

- All forms of intercompany receivables and payables need to be eliminated when consolidated financial statements are prepared.
- From a single-company viewpoint, a company cannot owe itself money.

If intercompany payables and receivables are not eliminated, both the consolidated assets and liabilities are overstated



Group Exercise 4: *Solution*

Three things to think about:

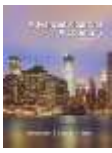
1. Note receivable / payable
2. Interest revenue / expense
3. Interest receivable / payable

} How would you eliminate each item?

1.	Note Payable (sub)	XXX	
	Note Receivable (parent)		XXX

2.	Interest Revenue (parent)	XXX	
	Interest Expense (sub)		XXX

3.	Interest Payable (sub)	XXX	
	Interest Receivable (parent)		XXX



Group Exercise 4: Intercompany Loan & Interest

Princess Inc. owns 100% of Solo Inc.'s common stock. On 11/1/X8, Princess lent \$150,000 to Solo. The loan is to be repaid on 1/30/X9 along with \$6,000 of interest. All aspects of the intercompany transaction were properly recorded by each company in its separate books.

Required:

1. What amounts should be reported in each company's separate 20X8 income statement and 12/31/X8 balance sheet (asset and liability sections only)?
2. Prepare and post to your format the consolidation entries as of 12/31/X8, relating only to these accounts.



Practice Quiz Question #5

Intercompany income statement accounts are eliminated in consolidation because they are deemed to be

- a. artificial transactions.
- b. potentially manipulative transactions.
- c. internal transactions.
- d. at amounts that are **not** determined on arms-length basis.
- e. None of the above.



Practice Quiz Question #5 *Solution*

Intercompany income statement accounts are eliminated in consolidation because they are deemed to be

- a. artificial transactions.
- b. potentially manipulative transactions.
- c. internal transactions.
- d. at amounts that are **not** determined on arms-length basis.
- e. None of the above.



The End